



TEST CODE **01240032**

FORM TP 2013110

MAY/JUNE 2013

CARIBBEAN EXAMINATIONS COUNCIL

**CARIBBEAN SECONDARY EDUCATION CERTIFICATE®
EXAMINATION**

PRINCIPLES OF BUSINESS

Paper 032 – General Proficiency

1 hour 15 minutes

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. Answer ALL questions.
2. All answers must be written in this booklet.
3. You are advised to take some time to read through the paper and plan your answer.
4. The use of non-programmable, scientific calculators is allowed for this paper.

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO.

INSTRUCTION: This paper consists of a case study and a template for a business plan. Use the information from the case to complete the business plan.

CASE STUDY

Kitchen Tool & Time Saver

SECTION A

Max and his sister Emma work with their mother, Sonia, in her catering business. The demands of having to go to school and assist with the catering business have led the brother and sister to develop ways of working more efficiently and spurred their creativity and innovation. Max and Emma have designed a five-in-one kitchen utensil that they call the Kitchen Tool & Time Saver. They have decided to start mass producing the item for sale but will outsource the production of the Kitchen Tool & Time Saver until they can afford their own factory. Max and Emma will co-own and manage the business with advice from Sonia. They plan to employ one administrative assistant and one marketing officer to assist in the operation of the new business.

Complete the following Business Plan using the information from the case.

BUSINESS PLAN

OPERATIONAL PLAN

1. Nature and Type of Business

- (a) Classify the business based on the ownership style.

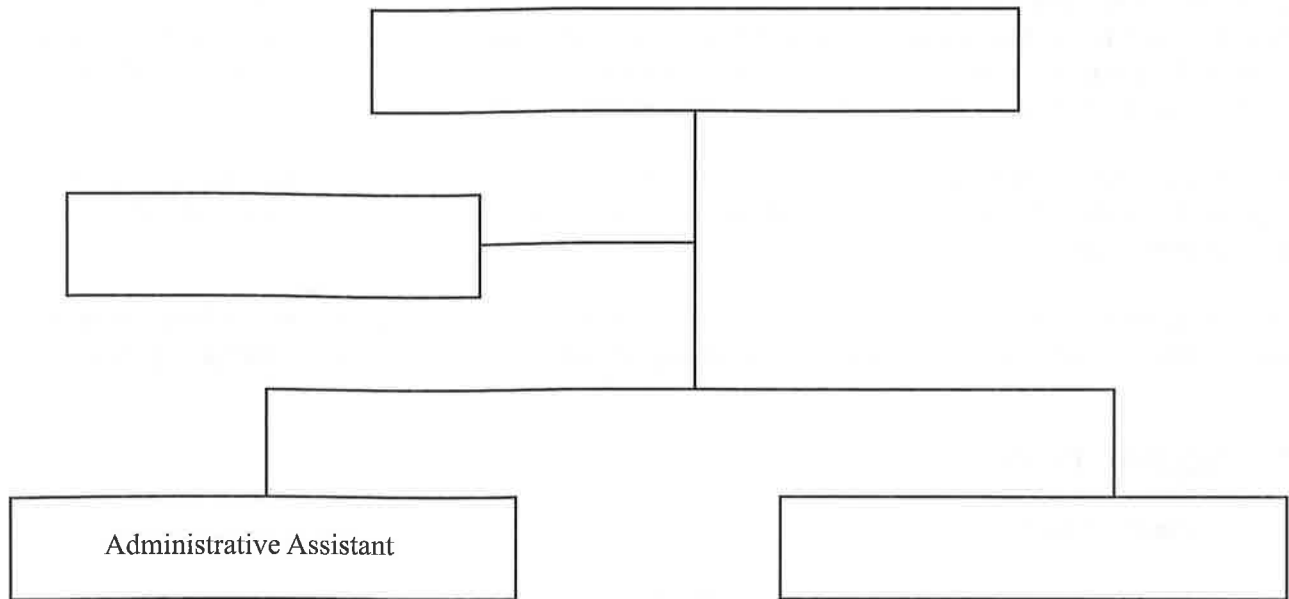
(1 mark)

- (b) State ONE **likely** reason for Max and Emma wanting to establish this business.

(1 mark)

2. Internal Organization Environment

Complete the organizational chart below to show the proposed structure of the new business.



(3 marks)

3. Management Functions

- (a) Identify TWO management functions that Max and Emma must perform in their new business.

(2 marks)

- (b) State the role that Sonia will perform in the new business.

(1 mark)

- (c) Identify TWO important activities, other than the construction of a business plan, which the owners should undertake prior to establishing their new business.

(2 marks)

Total 10 marks

SECTION B

1.

Max and Emma intend to combine the marketing of their new kitchen tool with the catering services provided by their mother. They are convinced that an infomercial that shows the tool being used and the time it saves busy cooks and professionals who have stringent deadlines to meet, will be a good marketing strategy. Consumers will be able to buy directly from them or from stores and supermarkets. Wholesaling of the product will be done through Max and Emma's office only.

Max and Emma are clear on the target market but must decide on other promotional activities that will capture this market. The new all-in-one tool consists of a can opener, cork screw, scissors, vegetable peeler and weighing scale.

Since production will be outsourced, care must be taken to ensure that the item is made to desired specifications and quality and that the manufacturers accept and respect that Max and Emma own the product design.

MARKETING PLAN

2.

4. Target Market

Identify the target market for the new product.

3.

(1 mark)

INS

Sign
cand

5. Marketing Mix

(a) Identify TWO P's of the Marketing Mix, that Max and Emma are considering.

(2 marks)

(b) List TWO other P's of the Marketing Mix that Max and Emma should also consider.

(2 marks)

(c) Define the term 'patent'.

(2 marks)

I her
the e

6. Promotion

Identify THREE methods, other than infomercials, that can be used to promote the product.

(3 marks)

7. Competition

Identify TWO possible competitors for the Kitchen Tool & Time Saver.

(2 marks)

8. Distribution Chain

Identify FOUR links in the distribution chain for the kitchen tool.

(4 marks)

9. Consumer Behaviour

- (a) Explain ONE consequence that the business is likely to face if the product does not meet required quality standards.

(2 marks)

- (b) Outline ONE redress that dissatisfied consumers can seek.

(2 marks)

Total 20 marks

SECTION C

1.

Max and Emma plan to start the business with 4 000 kitchen tools. The cost of producing these is \$2.00 per tool.

To operate the business for the first three months they will need money to cover the following expenses:

Rent	-	\$1 500
Salaries	-	\$15 000
Utilities	-	\$1 200
Transportation	-	\$2 400
Marketing	-	\$5 000

Max and Emma estimate the sale of the 4 000 kitchen tools in the first three months at \$15 per tool.

Together they have \$15 000 of their own money. They hope to get the remainder from the bank.

FINANCIAL PLAN

2.

10. Complete the projected Profit and Loss Statement below by inserting the missing values at (a), (b) and (c).

3.

**Kitchen Tool & Time Saver
Profit and Loss Statement
For the (three-month) period ended 31 March 2013**

INS'

Sign
cand

I her
the e

	\$	\$
Sales	(a) _____ (1 mark)	
Less cost of goods sold (\$2 × 4 000)		<u>8 000</u>
Gross profit		52 000
Less Expenses:		
Rent	1 500	
Utilities	1 200	
Transportation	2 400	
Salaries	15 000	
Marketing	<u>5 000</u>	
Total Expenses	(b) _____ (1 mark)	
Net profit/loss	(c) _____ (1 mark)	

(3 marks)

11. (a) Identify TWO types of collateral that the business owners can offer the bank to secure the loan.

(2 marks)

- (b) List TWO other sources of capital that Emma and Max can use if the bank turns down their loan application.

(2 marks)

12. Executive Summary

Write a brief summary of the case to include information from each section of the business plan.

(3 marks)

Total 10 marks

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.